IOWN

The Morning Brief

APRIL 16, 2026

New Highs

The S&P 500 closed above 7,000 for the first time in history at 7,022.95, completing a 10% recovery from the war's March low as Morgan Stanley posts record revenue and the SEC eliminates the day trading rule.

S&P 500	BRENT CRUDE	GOLD	BITCOIN	FEAR & GREED
7,023 · New ATH	~$95 ↓0.4%	~$4,840 ↓1.0%	~$74,500 ↑1.0%	23 · Improving

SECTION 01

Markets

S&P 500 CLOSES ABOVE 7,000 FOR THE FIRST TIME — WAR LOSSES FULLY ERASED

Wednesday completed what prior briefs described as a recovery that began at the March 30 low. The S&P 500 closed at 7,022.95, surpassing the previous January 28 intraday record of 7,002.28 and marking the first-ever close above 7,000. SPY closed at $699.94 (+0.79%) with an intraday high of $700.28. The Nasdaq Composite also reached an all-time high above 24,000, gaining 1.40% on the session. The Dow lagged at −0.16%. Tech (+1.60%) and discretionary (+1.49%) led sectors; industrials (−1.25%), materials (−1.21%), and utilities (−0.97%) were the notable laggards. The advance has erased the entirety of the war-era drawdown from its late-February onset through the March 30 low—a ten-session, approximately 10% recovery driven by the ceasefire, cooling inflation data, and the strongest bank earnings season in years. Futures are up approximately 0.19% in Thursday premarket. IUSG (+1.23%) continued to lead DVY (−0.22%)—growth over dividend value for the seventh session of the recovery.

MORGAN STANLEY POSTS RECORD REVENUE — BANK EARNINGS SEASON DELIVERS

The bank reporting cycle closed its second day with the strongest results in years. Morgan Stanley reported record quarterly revenue of $20.6 billion and EPS of $3.43 versus the $3.02 consensus, with institutional securities revenue at $10.7 billion, equity revenues at $5.1 billion (a segment record), and advisory revenue up 74% year-over-year. Bank of America beat consensus with $1.11 EPS versus $1.01, driven by equities trading revenue jumping 30% to $2.83 billion—its best trading quarter in fifteen years, per CNBC. BAC raised full-year NII guidance to 6–8% growth, a notable contrast to JPMorgan's NII cut the prior day. The aggregate read from the bank cycle: trading and banking fees surged on the war-era volatility, credit quality remains resilient, and the rate environment is supporting margins through the curve structure rather than the level. For IOWN, SYF (+2.39% Tuesday) benefits from the same consumer credit resilience visible across the money-center results.

HOOD +10.41% — SEC ELIMINATES THE $25,000 DAY TRADING RULE

Robinhood surged 10.41% to $87.32—its second consecutive session with a double-digit gain. The catalyst: the SEC eliminated the $25,000 pattern day trader rule, which had required margin account holders making four or more day trades within five business days to maintain at least $25,000 in equity. The new framework allows day traders to hold only

sufficient equity to cover their trade exposure. For Robinhood, whose average account balance is well below traditional brokerage thresholds, the regulatory change could meaningfully expand daily trading activity and revenue. COIN rallied 6.23% to $195.90 and ETHA gained 2.74%. The digital sleeve has fully recovered from the March Clarity Act selloff and is now posting multi-week highs across most names. HUT, however, was roughly flat as gold miners gave back gains—GFI fell 5.45% and AEM declined 2.52%—reflecting the rotation out of precious metals and into growth and crypto.

ENERGY CONTINUES TO FADE AS OIL SETTLES INTO A LOWER RANGE

Energy (−0.34%) was one of only four sectors in the red. VLO eased 0.25%, CVX declined 1.13%, and CNX gained 2.55% as an outlier. Oil continued its multi-session retreat: WTI dropped 1.02% and Brent eased 0.40%, with Brent now well below the $115 highs of late March. Iran's announcement that it has halted petrochemical exports until further notice, reported by Reuters, may be intended as leverage ahead of any second round of negotiations. However, with markets now pricing a gradual de-escalation and the ceasefire framework holding despite mutual accusations of violations, the energy premium continues to compress. For IOWN's energy sleeve, the transition from a war-premium trade to a structural-supply-deficit trade is complete; the names remain sound for the medium term but are no longer providing the short-term portfolio ballast they delivered during the active conflict phase.

S&P 500	7,022.95 · First close above 7,000 · New ATH
NASDAQ	↑1.40% · Also hit all-time high above 24,000
MORGAN STANLEY	Record $20.6B revenue · $3.43 EPS vs $3.02 est
BANK OF AMERICA	$1.11 EPS vs $1.01 est · Best trading qtr in 15 yrs
SEC DAY TRADING RULE	$25K PDT rule eliminated · HOOD +10.41%
FEAR & GREED	23 · Up from 8 at conflict low

Forty-seven days ago, the S&P sat at 6,341 and Fear & Greed read single digits. Today it is above 7,000 for the first time in history. The recovery was built on the same principles the portfolio was built on: energy for the disruption, defense for the escalation, dividends for the downturn, and growth for the normalization. The market has found all-time highs. The work now is sustaining them.

Think Like an Owner.

Geopolitics

CEASEFIRE HOLDS — GAPS NARROW BUT NO DATES FOR SECOND ROUND

A senior Iranian official told Reuters on Wednesday that Iran and the US have narrowed differences following Pakistani mediation, though splits remain on key issues including the timeframe for uranium enrichment suspension and the status of the naval blockade. Pakistan's government stated that no dates have been set for a second round of face-to-face talks, tempering expectations for an imminent framework extension. The ceasefire, set to expire around April 21, continues to hold despite mutual accusations of violations. For markets, the ongoing de-escalation—even absent formal progress—is sufficient to support the current risk-on posture. The absence of active military escalation has allowed the oil premium to compress, equities to recover, and the volatility regime to normalize. The risk remains that a collapse of the ceasefire before April 21 would rapidly reverse these dynamics.

IRAN HALTS PETROCHEMICAL EXPORTS — LEVERAGE OR EXHAUSTION?

Iran announced a halt to all petrochemical exports until further notice, according to Reuters. The move could represent either a negotiating tactic ahead of potential second-round talks or a reflection of the operational damage sustained during the conflict—Israel's strike on Asaluyeh, which accounted for a significant share of Iran's petrochemical capacity, may have made the halt involuntary rather than strategic. Either interpretation supports the structural-supply-deficit thesis: even in a post-ceasefire environment, Iran's ability to export petrochemical products is materially diminished, which has downstream implications for global chemical pricing and the cost structures of IOWN's industrial holdings.

CEASEFIRE	Holding · Gaps narrowing · Expires ~April 21
SECOND ROUND	No dates set · Pakistan continues mediation
IRAN PETROCHEMICALS	Exports halted until further notice
OIL	Brent ~$95 · Retreating from war highs
IMF	Flags defense spending trade-offs for fiscal policy

SECTION 03

On Our Radar

1. Q1 earnings continue today with Netflix, PepsiCo, and Charles Schwab. The bank cycle set a high bar: Morgan Stanley's record quarter, Citi's 34% EPS growth, and BAC's best trading results in fifteen years collectively validated the earnings trajectory. Netflix and PepsiCo provide reads on consumer demand in the war-era inflation environment. Charles Schwab results are directly relevant to the HOOD thesis—if Schwab reports elevated retail engagement, it corroborates the structural tailwind from the SEC day trading rule change. Initial jobless claims arrive at 8:30 AM ET. *Research Reveals Opportunities.*

2. The SEC's elimination of the $25,000 day trading rule is a structural catalyst for retail platforms. HOOD's consecutive 10%+ sessions reflect the magnitude of the change: the prior rule excluded the majority of Robinhood's user base from active intraday trading. The expanded addressable market for day trading activity could materially increase transaction revenue and options flow—both core to HOOD's revenue model. The $1.5 billion buyback announced in March provides additional share-price support. HOOD is now approaching its 2025 highs. *Think Like an Owner.*

3. Gold miners reversed sharply as the safe-haven rotation unwinds. GFI fell 5.45% and AEM declined 2.52% on Wednesday even as the broad tape hit new highs. Gold spot fell 1.04%. The inverted safe-haven dynamic that defined the conflict's first weeks—gold rising when oil fell, falling when oil rose—has transitioned to a more traditional risk-off/risk-on relationship where gold sells as equities reach all-time highs. J.P. Morgan's year-end target of $6,300 implies substantial upside from current levels, but the near-term positioning favors growth and tech over precious metals. The gold sleeve may see a quieter period as the broader portfolio rotates. **Simplicity Over Complexity.**

4. The April 21 ceasefire expiration is the remaining tail risk. The ceasefire framework expires in approximately five days. Gaps between the US and Iran are narrowing according to senior Iranian officials, but no second round of talks is scheduled. If the window closes without extension, oil could spike and the equity recovery faces its first significant test at all-time-high levels. If the framework extends, the market has room to consolidate at these levels and begin pricing normalized corporate earnings. The energy and defense sleeves retain their insurance function even as they give back war-premium gains. *Avoid Erosion.*

5. The recovery from 6,341 to 7,023 in ten sessions is among the sharpest in modern market history. The 10.7% gain matches the pace of post-COVID and post-financial-crisis recoveries. Fear & Greed has improved from 8 to 23 but remains in extreme fear territory—suggesting institutional positioning has not fully caught up to the tape. If positioning normalizes, the bid could persist even without new catalysts. The portfolio's construction held through the drawdown and is now capturing the recovery. **The physical world matters.**

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